

given new life. This can give it renewed vigour and a new lease of life. A classic example that comes to mind is ITC Ltd. This tobacco giant branched into hotels under Haksar and then into agribusiness under Sapru. Reliance Industries was initially in Textiles. It then saw opportunity and moved into petroleum, into petro chemicals and refining products. It has in 2003 got into mobile phones. Blue Star is a airconditioning company. It had a software division which was spun off as a separate company. Since then both these companies have grown.

Labour relations are extremely important. A company that has motivated, industrious work force has high productivity and practically no disruption of work. On the other hand, a company that has bad industrial relations will lose several hundred man days as a consequence of strikes and go slows. In 1992 Bata, the giant shoe company, was closed due to strikes for nearly four months and as a consequence its results in the year to 31 March 1993 were extremely bad. It is widely believed that the textile industry died in Mumbai because of the militancy of the unions under the late Datta Samant. It was on account of the militancy of the labour force that many companies grew reluctant to invest in states such as Kerala and West Bengal. It is critical, therefore, to ascertain where the company's plants and factories are and their record of industrial relations.

One must also consider where the company is located and where its factories are. If the infrastructure is bad, if there is inadequate electricity or water the company could have tremendous problems. There are many companies in Madhya Pradesh in dire straits because of electricity cuts. Many cannot afford captive power. Transportation is another issue. The government has recognized this and there are plans afoot to have superhighways around the country within the next ten years.

These are the main factors one should keep at the back of one's mind while viewing a company.